MICROECONOMICS

MICRO-52

Time: 5 minutes

Outcome: Analyze Tacit Coordination, Price Leadership & Nonprice Competition.

Difficulty: Intermediate

Tacit Coordination, Price Leadership & Nonprice Competition

THE CORE IDEA

Tacit coordination occurs when firms align behavior without an explicit agreement, while nonprice competition uses quality, service, or advertising rather than price cuts. Advertising can shape demand in both markets. Strategic interdependence applies to quality, advertising, service, and other competitive dimensions as well as price. Tacit coordination refers to aligned behavior without the explicit agreement that defines collusion.

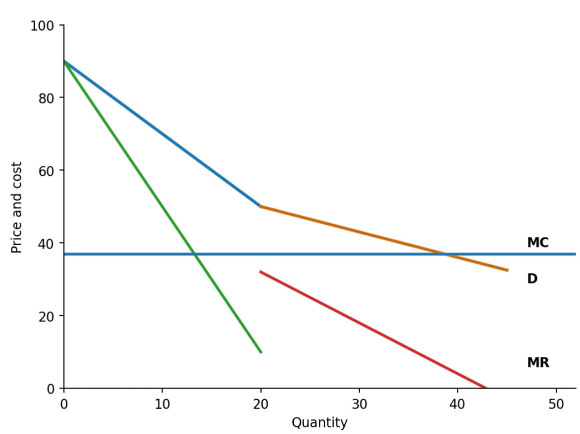
HOW TO RECOGNIZE IT

- A student has learned that oligopoly firms react strategically to price changes.
- A student says tacit coordination and explicit collusion are identical.
- Tacit coordination can arise through expectations and repeated conduct.
- A firm increases product quality rather than cutting price.

WATCH OUT

Do not assume price is irrelevant. Oligopolists can compete on quality and other dimensions. A leader's announced price can become a focal point.

WORKED EXAMPLE: RECOGNIZING NONPRICE COMPETITION



The kink in demand occurs near 20 units and a price of $50. Because the marginal-revenue curve has a gap at that output, modest changes in MC around $36 need not change the chosen price or quantity. The model explains price rigidity while reminding us that oligopolists can still compete through quality, service, and advertising.

CHECK YOURSELF

Does parallel pricing prove collusion?

READY? Return to the game and master this concept.